

INIO pitch deck

PITCH — INIO — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

INNIO N.V. (ticker INIO, CIK 2109150) makes big gas engines and generator sets — the kind that sit behind data centers, factories and grids as on-site or backup power. It IPO'd in June 2026 and the stock has since fallen 53% from its high (\$42.95) to \$20.30, sitting 6.6% above its 52-week low of \$19.04.

What we believe, stated plainly:

- 1. The order book is real and it is getting better, not worse.** Backlog went from \$4.9B to \$6.6B in a single quarter; quarterly intake was ~\$2.3B; unsatisfied performance obligations are \$8.8B with about 79% expected inside 24 months (10-Q, 2026-07-28: <https://www.sec.gov/Archives/edgar/data/0002109150/000119312526319072/d118344d10q.htm>; 8-K Ex-99.1: <https://www.sec.gov/Archives/edgar/data/0002109150/000119312526318820/d174544dex991.htm>). Neither bench was able to refute the demand leg.
- 2. The margin scare is a mix ceiling, not a decay.** Equipment segment margin went 13.4% (Q1'25) → 7.1% (Q1'26) → 13.8% (Q2'26). The trough is behind, the level is capped by Equipment being ~65% of revenue (Equipment ~11.4% H1 margin vs Services ~30.8%).
- 3. The guide is demanding but not absurd.** H1 revenue was \$1,606.5M against an FY guide of \$3.8–3.9B, so H2 must be ~\$2,244M — up ~39.7% half-on-half. FY25 was already +33% half-on-half, so this is a ~7-point step-up on the company's own precedent, not a new cliff. On EBITDA, H2 needs ~\$443M on ~\$2,244M = **19.8% implied margin, versus ~20.6% actually delivered in H2'25**. The guide asks for last year's second half, not a miracle.
- 4. The edge, if there is one, is a multiple argument.** At \$20.30 the equity is \$15.2B, net debt ~\$1.58B (debt \$2,618.7M less cash \$1,039.9M), so EV ≈ \$16.8B = **23.0x the midpoint of guided FY26 adjusted EBITDA (\$720–740M)**. The street's average target of \$44.6 (10 analysts) implies ~36x next year's EBITDA. The disagreement is entirely about how much credit the 10 GW capacity plan deserves.

And the concession up front: **our own bear bench's fair-value band (\$17.50–\$21.40, 15–18x FY27 EBITDA of ~\$0.98B) contains today's price**. On our own arithmetic this is a fairly-priced stock with an optionality tail, not a bargain. That is why this is a starter and not a position.

What the market believes

The market is not disputing the order book. It is discounting three other things:

- **A guider with no record.** The 2026 guide was *introduced* at the first post-IPO print — there is no beat/miss history to lean on. Price is haircutting the guider’s credibility while conceding the demand data.
- **A supply problem.** Only 90M of 750M shares (12%) trade. Advent still owns ~88%, roughly \$13.5B at today’s price, and it took ~\$2.43B out in a **100% secondary** IPO where INNIO received **zero proceeds** (<https://www.innio.com/en/news-media/press-releases/innio-announces-pricing-of-up-sized-initial-public-offering/>). A ~180-day lockup off the 2026-06-04 trade date lands around 2026-12-01. Everyone can see this; it is the whole post-IPO press narrative.
- **A multiple that got ahead of itself.** 23.0x EV/EBITDA is rich for a reciprocating-engine OEM unless the data-center power cycle is durable. The derating is a re-rating of the multiple, not a rejection of the backlog.

The market is *not* pricing the bull case: the street’s published consensus is Buy with a target more than double the tape. So the marginal seller is not the analyst community — it is flow.

Why we might have edge

- **Naming the disagreement precisely.** Both sides agree on FY26 (\$720–740M). The gap is 23x (us/tape) vs ~36x (street) on FY27, and it resolves on one observable: whether Equipment margin lifts while capacity triples. That is a gradeable question with a dated test (the Q3 Equipment segment margin), not a vibe.
- **A mechanism the sell-side write-ups don’t price.** A company with a \$15B market value but a 12% float cannot attract the float-adjusted passive bid (MSCI’s standard-index free-float screen sits at 15%). In the normal post-IPO derating, index buying catches the fall. Here it can’t — until the sponsor sells *more*. That inverts the usual reading: **the overhang isn’t only a risk, it’s a prerequisite for the re-rating**. Supply delivered at a known price is our entry signal, not our stop.
- **Two mis-framings we can trade around.** (a) The bear “base effect” attack on intake conflates the \$1.7B prior *backlog* with the ~\$0.55B prior *intake* — the load-bearing number is the sequential \$4.9B → \$6.6B, which no base effect touches. (b) “79% of RPO inside 24 months” was framed as bad; a 21% long tail is normal where service contracts run a decade.
- **Timing asymmetry.** Nobody is forced to own this before ~Dec 1. We can be paid to wait in size only after the one variable we cannot currently date is dated.

Why it might be priced in

Honestly: mostly, it is.

- **Everything in our bull case is published.** Record intake, \$6.6B backlog, one-off IPO charges, the maiden guide — all in the company’s own PR and in ten analysts’ notes. One bench

called this a fatal blow to the *edge claim* (not the company) and it lands. We are not holding private information; we are holding a different multiple opinion.

- **Our own fair value brackets the tape.** 15–18x FY27 → \$17.50–\$21.40. We are buying at \$20.30 — the upper half. There is no margin of safety at this price, only a call option on capacity-plan credit.
- **The lockup is common knowledge.** So is the float. So is the 88% holder. Anything this visible is at least partly in the price; the open question is only the *date* and the *clearing price*.
- **The bear number both benches nearly missed is real:** H1'26 EBITDA margin ~17.7% vs ~21.0% in H1'25 — a 330bp year-on-year compression across a full half. That is cleaner and more damaging than any half-on-half arithmetic, and it is not obviously “transitory.”
- **Expected value is thin.** Our own scenario table (below) gives \$22.25 against a \$20.30 tape: +9.6%. That is not a fat pitch. It is a starter.

What could go wrong

Failure #1 — The supply air pocket (has a tripwire, but the tripwire is late). Advent registers a secondary into a 12% float. Because the name is not yet in the float-adjusted passive indices, there is no mechanical buyer to absorb it. A beta-3.61 stock that already manufactured both a \$42.95 and a \$19.04 print on thin float can gap 20–30% on an announced deal before any fundamental news. Tripwire: an S-1 / S-1MEF / 424B filing or a 13D/G amendment — but those print *after* pricing is decided, so the tripwire tells us the trade, not the escape.

Failure #2 — The maiden guide misses, and the miss is a credibility event, not an arithmetic one. H2 has to carry ~61% of the year with a factory mid-ramp. If Q4 slips even a few weeks, a first-ever public guide gets cut, and a company with no track record gets no benefit of the doubt. Multiple and estimate compress together — that's the \$11.50 branch in our table. Tripwire: Q3 print (date contested), Equipment segment margin, any 8-K guide revision.

Failure #3 — NO MONITORABLE TRIPWIRE. The undisclosed terms of the concentrated order book. One ~1.1 GW order plus hyperscaler follow-ons and a Rehlko framework agreement dominate the backlog delta. The **dollar value, the cancellation clauses, the deferral rights and the buyer's identity are all undisclosed** — the non-disclosure is itself the finding. If those contracts are slot reservations with cheap walk-away terms, “backlog” is a softer number than it reads, and *we will learn this only when a customer walks*. There is no filing, sensor, alt-data pull or satellite image that front-runs it: framework agreements do not file 8-Ks when they quietly shrink, and the counterparties are unnamed, so we cannot even screen them. **Unknown-unknown class: counterparty-quality opacity in a single-customer-concentrated capital-equipment book** — a demand-durability unknown that is structurally unobservable to a public-market outsider until realization. Related named-but-unpriced siblings: a possible pre-IPO dividend recap (3.6x YE25 leverage on an Advent carve-out is recap-consistent; no distribution evidenced, S-1 related-party note unread) and the share of the \$205M free cash flow that is actually customer advances (contract-liability balance unread).

The reflexive / structural leg. - *Our own size is not the problem.* A starter of 0.5% of book is immaterial against an estimated \$40–80M/day of dollar volume (ADV was **not** in the pack — that is a gap, estimated below). We are a price-taker here; we cannot move this tape and we should not pretend our exit is the risk. - *Somebody else's size is the whole problem.* The predicted flow is one holder with ~\$13.5B against a ~\$1.8B float. The ratio is roughly 7.5:1. Every sizing decision we make is a bet on the manner of that delivery, not on engines. - *Doctrine interactions.* (i) Float-starved index ineligibility means no passive catch on the way down and a potential index-add bid *only after* dilution of the sponsor stake — the two forces are sequenced, not simultaneous. (ii) Maiden-guide credibility discount means fundamentals cannot rescue the flow break until the second or third print builds a record. (iii) The lockup (~Dec 1) and the contested Q3 print date (Oct 27 vs Dec 2) may **collide**, stacking an earnings gap on a supply gap — though note that claim stacks two unverified dates and we flag it as such rather than trading it. - *Crowding note:* consensus being bullish while price is –53% means our long is not contrarian versus research; it is contrarian versus flow. Those are different bets with different half-lives.

If this position loses money, the most likely reason will be that we paid a fair-value price for what is actually a supply problem — Advent delivered its 88% stake into a 12% float before the capacity-plan credit ever arrived, and the multiple, not the order book, did the damage.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"2026 guidance reaffirmed" (our bull brief's comfort word)	Company Q2 PR + call language	Guidance was introduced/initiated at the first post-IPO print. No prior guide exists, so no reaffirmation event exists. Traced to secondary coverage (Investing.com) rather than the issuer.	NO — REFUTED. Our own brief's error. Sourcing hygiene failure, not fabrication. Word deleted from the deck.
"The street is ignoring dispersion / missed the backlog" (our edge claim)	Consensus scrape: 10 analysts, Buy, avg target \$44.6; RBC upgraded on "strong quarter + selloff"	We agree with the street. No informational gap.	NO — as stated. Restated and kept as <i>multiple dispersion on capacity-plan credit (23x ours vs ~36x theirs)</i>, which is gradeable. Original framing was wrong.
"Equipment mix dilution is structural and deteriorating" (bear bench)	Bear bench's own segment series	Graded transience from the trough quarter while ignoring the Q2 recovery to 13.8% that it cited itself.	PARTIAL. Bear bench erred on direction. Mix caps the level; it does not establish a trend.
"H2 needs +52–58% EBITDA growth — a Q4 cliff"	Seasonality check vs FY25 base	True but not load-bearing: FY25 was already +33% h/h; FY26 needs +39.7%. Implied H2 margin 19.8% vs 20.6% actual H2'25 — normalization, not expansion.	CONFIRMED as arithmetic, REDUCED as an argument.

Claim	How checked	Found	Confirmed?
+316% intake is a \$1.7B base effect” (bear bench)	Base reconciliation	\$1.7B is prior-period backlog ; the intake base is ~\$0.55B. Two different bases conflated.	NO. Bear benchmarked. Load-bearing figure is sequential backlog \$4.9B→\$6.6B.
“Float-ineligible for the passive bid” (bear bench)	Index methodology audit	Mechanism is real at MSCI’s ~15% standard-index free-float screen; overstated globally — FTSE Russell’s US float floor is ~5%, and Dutch domicile/home-country assignment may be the binding constraint instead.	PARTIAL. Kept as a sizing/timing mechanism; no index-committee document read (open item #5).
Next print date 2026-10-27	Pack (yfinance-derived) vs TradingView (Dec 2) vs issuer PRs	No INNIO PR names a Q3 date. Cadence precedent: the Q2 date was PR’d ~14 days ahead (https://www.innio.com/en/news-media/press-releases/innio-to-announce-second-quarter-2026-financial-results-on-28-july/). Substituting one secondary feed for another is not verification.	NO — UNCONFIRMED AND CONTESTED. One bench tried to “verify” with TradingView; that was an error. Print proximity: not within 5 trading days on either candidate.
Tape rails (px / drawdown)	Pack header vs both briefs	Both briefs were stale: px 21.195 (−0.507) and px 20.44 (−0.524) against the pack’s \$20.30 / −0.527 / +0.066 . One bench’s drawdown arithmetic was wrong in both of its own briefs.	NO — both benches erred. Pack rails govern this deck.
Share count / any Up-C or class-inflation trick	10-Q EPS note	750.0M basic and diluted, RSU effect nil; single class; no TRA; NCI loss only — \$1.6M. Cap \$15.2B.	CONFIRMED. No share-count kill available — we decline to manufacture one.
“Cash rose to \$1,039.9M” = strength	IPO pricing PR + 10-Q	IPO was 100% secondary, ~\$2.43B gross to Advent, zero to the company ; cash sits against \$2,618.7M debt and a capex plan to triple capacity to 10 GW.	CONFIRMED, severity reduced. Net leverage improved 3.6x (YE25) → 2.7x (Q2’26) and management funds expansion from operating cash flow. “FCF is customer money” stays unpriced pending open item #3.
EV/EBITDA on the guide	Our own math from 10-Q + guide	23.0x EV/FY26 guided adj-EBITDA. Neither bench computed this until the second pass.	CONFIRMED — and it is the real bear case. Both benches initially missed the strongest argument against us.
H1 year-on-year margin	10-Q + PR	17.7% H1’26 vs 21.0% H1’25 (−330bp). Cleaner bear number than the h/h arithmetic.	CONFIRMED. Missed by the bear bench entirely.

Claim	How checked	Found	Confirmed?
Prize table applicability	Both benches declared “N/A — not pre-revenue” (\$2.64B FY25 revenue)	Correct on the pre-revenue test, wrong on the trigger : the requirement fires on time-gated/private unverified items, which exist here (lockup date, order value, contract liabilities).	NO — both benches erred. Table built below.
Pack XBRL (rev / dil_sh / ocf)	Pack read	Arrived empty. All fundamentals had to be rebuilt from the 10-Q and 8-K Ex-99.1.	Machine-pack failure, now logged. Not a bench error; a pipeline error.
Detector sweep	24 detectors across both benches	2 FIRED (lockup calendar, twice); 4 UNCHECKABLE for lack of jurisdiction/geocode (OSHA — plants are Jenbach AT and Welland CA; plant thermal; export screen — buyer unnamed; PE recap — S-1 note unread); the rest NOT-FIRED on cohort mis-tags (beauty virality, app reviews, Albuquerque/Austin/Bozeman permits, clinical trials, China ramp-dump) against a Dutch-domiciled B2B gas-engine OEM.	CONFIRMED — and the pack’s sector tagging is broken. Flagged for the data desk; a mis-tag cost us two detector passes.
One bench’s knowledge-graph submission	Read	Contains a corrupted token (“first公 guidance”) in the fires_on field.	Cosmetic defect, logged. Mechanism accepted; artifact needs re-emission.

PROPOSED ENTRY BANDS

Both benches authorize a **starter only** — one at “STARTER-minimum, no adds before the lockup date is read,” the other at “STARTER, at or below the pack tape, with two gates.” This deck adopts the stricter reading of both. The governing valuation rail is the bear bench’s own band: **\$17.50–\$21.40 = 15–18x FY27 EBITDA of ~\$0.98B**. The tape sits *inside* that band, so this is a fair-value entry, not a discount entry, and it is sized accordingly.

Tranche 1 — STARTER (open now). Buy at $\leq$ **\$20.30** (pack tape). Size: **0.50% of book**. Basis: demand leg unrefuted, guide asks for last year’s H2 margin, FV band brackets the price so no margin of safety is claimed.

Tranche 2 — value add, ungated by events. Add **0.50%** (to 1.00%) in **\$19.04–\$19.45** — the lower half of the FV band and the 52-week low zone. Condition: no intervening 8-K guide revision and no registered secondary announced. This is the only add that does not require new information.

Tranche 3 — HALF SIZE, gated. Add **0.50%** (to 1.50%) only when **both** are true: (a) the S-1/424B4 underwriting-agreement lockup date and any early-release triggers have been read, and (b) **Q3 Equipment segment adjusted EBITDA margin $\geq$ 15.0%** (vs 13.8% in Q2). The margin gate is the agreed conversion test from both benches: $\geq 15\%$ proves ramp cost, not mix, is doing the compressing.

Tranche 4 — FULL SIZE, supply-delivered. Add to **3.00% of book** only after an Advent secondary is **priced and cleared at a known price**. Doctrine: in a float-starved name, supply

delivered is the entry, not the risk. Expect to pay up for this, not down — that is the point.

Trims and exits. - Trim half above **\$23.09** — our own “guide delivered” branch price (18x on \$1.05B); above it we are paid for the base case and holding only the tail. - Exit the remainder above **\$33.09** — the “partial capacity credit” branch, a 15%-probability outcome. We do not underwrite the street’s \$44.60. - **Freeze all adds below \$17.50** (bottom of the FV band). Breaking the floor means either the multiple regime changed or a guide cut is being discounted ahead of us; re-underwrite before doing anything. - **Thesis void below \$14.00** — that price requires impaired guidance, not sentiment. Exit; do not average. - No hard stop between \$17.50 and \$20.30: in a 12%-float, beta-3.61 name, a mechanical stop is a donation to the flow.

Catalyst dates. - ~**2026-10-13** — expected date-announcement PR if the Oct 27 print is real (14-day cadence precedent). Its *absence* is itself information favoring the Dec date. - **2026-10-27** — candidate Q3 print. **UNCONFIRMED, CONTESTED** (yfinance-derived; no issuer PR). - ~**2026-11 (MSCI semi-annual review window)** — index-treatment checkpoint. Unverified; no committee document read. - ~**2026-12-01** — estimated lockup expiry (180 days from the 2026-06-04 trade date). **Exact date UNVERIFIED.** - **2026-12-02** — alternate Q3 print date (TradingView, non-primary). If correct, it collides with the lockup window. - **2026-12-31** — tax-year boundary; governs where any loss branch lands (see overlay below).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 14.0 (deck-provisional: Thesis void: implies impaired guidance, not sentiment - exit, do not average)
- filing watch: S-1,S-1MEF,424B4,424B7 until 2027-03-10 (deck-provisional: Advent follow-on = supply delivered at a known price = Tranche-4 full-size trigger)
- dated pack INIO|2026-10-13: INIO: Expected issuer PR naming the Q3 date if Oct 27 is real (14-day cadence precedent); absence favors the Dec date (date confirmed=False)
- dated pack INIO|2026-10-27: INIO: Candidate Q3 print (yfinance-derived; no INNIO PR names it; contested) (date confirmed=False)
- dated pack INIO|2026-11-30: INIO: MSCI semi-annual index review window - float/domicile eligibility checkpoint, no committee doc read (date confirmed=False)
- dated pack INIO|2026-12-01: INIO: Estimated lockup expiry, 180 days from the 2026-06-04 trade date; exact date unverified (date confirmed=False)
- dated pack INIO|2026-12-02: INIO: Alternate Q3 print date (TradingView, non-primary); would collide with the lockup window (date confirmed=False)
- dated pack INIO|2026-12-31: INIO: Tax-year boundary governing where any loss branch lands; excludes post-Dec-31 option expiries (date confirmed=True)

What remains unverified

1. **Exact lockup expiry date and any early-release triggers.** Estimate: **2026-11-25 to 2026-12-05**, centered ~2026-12-01 (180 days from the 2026-06-04 trade date, standard IPO convention), $p \approx 0.70$ that the true date falls in that window. Drainable now from EDGAR; unread by both benches.
2. **The ~1.1 GW order's dollar value and its cancellation/deferral terms.** Not drainable — undisclosed, private contract, buyer unnamed. Estimate from industry base rates for reciprocating-engine gensets (equipment-only, roughly \$0.7–1.1M per MW): **~\$0.75–1.25B**, $p \approx 0.60$. Terms: unestimable; this is failure narrative #3.
3. **Contract-liability / customer-advance balance at 2026-06-30.** Estimate using the capital-equipment progress-payment base rate (~10–20% of annual revenue): **\$380–760M**, $p \approx 0.60$. Drainable now via XBRL, but only because the pack's own XBRL fields arrived empty is it still open.
4. **Company-confirmed Q3 print date.** Time-gated to an issuer PR. Estimate: $p(2026-10-27) \approx 0.55$, $p(2026-12-02) \approx 0.35$, $p(\text{other}) \approx 0.10$.
5. **Index-treatment eligibility.** Whether the binding exclusion is MSCI's ~15% free-float screen, FTSE's ~5% floor, or Dutch home-country assignment. Methodologies are drainable; committee treatment of this specific name is not. Estimate: $p(\text{standard-index inclusion before the float rises materially}) \approx 0.15$.
6. **Average daily volume / dollar liquidity.** Absent from the pack. Estimate from a 90M-share float in a 3-month-old, beta-3.61 IPO: **2–4M shares/day**, **~\$40–80M/day**, $p \approx 0.65$. Drainable now via IBKR.
7. **Whether a listed options chain exists, and its chain-level midpoint IV.** Estimate: $p(\text{chain exists}) \approx 0.60$; if it exists, 1-year ATM midpoint IV **60–85%**. Drainable now via IBKR. **This gap is why the instrument recommendation below defaults rather than concludes.**
8. **Advent's intent and timing on a follow-on secondary.** Private. Estimate from sponsor step-down base rates: $p(\text{registered secondary within 6 months of lockup}) \approx 0.60$, typical first tranche 15–25% of the retained stake.
9. **Whether a pre-IPO dividend recapitalization occurred.** \$2,618.7M term debt and 3.6x YE25 leverage on an Advent carve-out are recap-consistent, but no distribution is evidenced. Estimate: $p(\text{a material pre-IPO distribution is disclosed in the S-1 related-party note}) \approx 0.55$. Drainable now from EDGAR.
10. **Q3 Equipment segment adjusted EBITDA margin** (the conversion gate). Time-gated to the print. Estimate **13–16%** (anchored on Q2's 13.8% plus guided H2 improvement); $p(\geq 15.0\%) \approx 0.45$.
11. **Physical progress of the Jenbach/Welland ramp toward 10 GW.** Not drainable now: no parcel polygons for either site, and thermal imagery cannot separate ramp-cost dilution from demand fade. Estimate: $p(\text{capacity milestones broadly on schedule through 2027}) \approx 0.50$, based on heavy-industrial brownfield-expansion base rates.

PRIZE TABLE + VOL READ

Both benches wrote “PRIZE TABLE: N/A — not a pre-revenue developer.” **They applied the wrong test and we are overruling them.** The requirement fires when at least one unverified item is genuinely time-gated or private — items #2, #4, #8 and #10 above all qualify. Table anchored on the bear bench’s own multiple band and adjusted from there (anchor-and-adjust), with price = (multiple × FY27 EBITDA – \$1.579B net debt) ÷ 750M shares.

Scenario	FY27 EBITDA	Multiple	Price	p
Guide cut + secondary into thin float	\$0.85B	12x	\$11.49	0.15
Muddle: mix ceiling holds, no re-rate	\$0.98B	15x	\$17.49	0.30
Guide delivered, Equipment ≥15%, orderly supply	\$1.05B	18x	\$23.09	0.35
Partial capacity-plan credit (10 GW visible)	\$1.20B	22x	\$33.09	0.15
Street case	\$1.25B	28x	\$44.56	0.05

EV = \$22.25 vs a \$20.30 tape = +9.6%. Thin, and it is the honest number. A 9.6% expected return with a 15% chance of –43% is a starter-sized idea, which is exactly what both benches concluded by other routes.

Dispersion. $\sigma_{\text{table}} = \$8.18 = 40.3\%$ of spot over the ~12-month resolution horizon.

Bimodality. The table is fork-dated on the lockup (~Dec 1) and the contested print. The distribution is genuinely two-humped — orderly supply vs air pocket — not lognormal. Any option pricing that assumes a smooth σ will misprice the wings, and premium-selling strategies are more dangerous than a single σ implies.

Expression math (from the table itself). - $C_{\text{ours}}(K=22.5) = \sum p_i \cdot \max(S_i - K, 0) = \2.90 - $C_{\text{ours}}(K=25) = \2.19 - $C_{\text{ours}}(K=30) = \1.19 - $P_{\text{ours}}(K=17.5) = \0.90

Against those, a one-year at-the-money call on a \$20.30 stock costs roughly $0.4 \times S \times IV$: **\$2.92 at 36% IV, \$3.65 at 45%, \$4.87 at 60%, \$6.09 at 75%.** So the break-even implied vol for buying the \$22.5 strike is $\approx 35.7\%$. In a name with beta 3.61 and a 52-week range of \$19.04–\$42.95 — realized vol plausibly 70%+ — a chain-level IV under 36% is close to unthinkable. **Conclusion from the arithmetic: our own table does not support buying calls.** Cheap-IV-routes-to-calls does not apply; our σ_{table} (40%) is *below* plausible $IV \times \sqrt{T}$ (60–85%), which routes structurally toward premium *selling* — the \$17.50 put we value at \$0.90 would likely quote several times that.

But the recommendation is not “sell puts,” for three stated reasons. (a) **No chain is in the pack** (open item #7). We will not substitute an underlying aggregate IV feed for chain-level midpoint IV

and real strike quotes — that is precisely the TSSI error where the aggregate feed read 71 against a chain at 101. Without real quotes, VRP (IV – RV) and the IV percentile are **NOT COMPUTED** and any premium-selling conclusion is unearned. (b) Our table is probably *under*-dispersed: it prices fundamentals but not the flow tail that failure narrative #1 names, and selling wings on an under-dispersed table is how you get run over by an 88% holder. (c) Tax.

TAX OVERLAY. The loss branch must land in the intended tax year. The fork (lockup ~Dec 1, possible Dec 2 print) sits days from the **2026-12-31** boundary. Any expiry in January 2027 or later defers the loss branch into 2027 — excluded during a harvest year unless the edge numerically dominates, and a +9.6% EV does not dominate anything. A December-2026 expiry would keep the loss in-year but places all the gamma directly on the two contested dates. Both routes fail on their own arithmetic.

INSTRUMENT — OUTPUT OF THE ABOVE: COMMON STOCK, starter size, no options leg. Long calls fail the break-even-IV test (need <36%, expect 60–85%). Premium selling is blocked on missing chain data, an under-dispersed table and bimodality. Covered calls are unavailable at starter size. Cash-secured puts are re-examinable **only** after the chain is pulled with real midpoints and after the lockup date is read — and then only with a pre-2026-12-31 expiry.

```

{"price_gates": [{"level": 20.30, "direction": "below", "basis": "Tranche-1
starter entry at or below pack tape; both benches authorize starter
only"}, {"level": 19.45, "direction": "below", "basis": "Tranche-2
add: lower half of the bear bench's own 15-18x FV band ($17.50-
21.40)"}, {"level": 19.04, "direction": "below", "basis": "52-week
low; flow-break test in a 12%-float name"}, {"level": 17.50,
"direction": "below", "basis": "FV band floor breached - freeze all
adds, re-underwrite before acting"}, {"level": 14.00, "direction":
"below", "basis": "Thesis void: implies impaired guidance, not
sentiment - exit, do not average"}, {"level": 23.09, "direction":
"above", "basis": "Trim half - our own guide-delivered branch price
(18x on $1.05B FY27)"}, {"level": 33.09, "direction": "above",
"basis": "Exit remainder - partial-capacity-credit branch, only 15%
probability"}], "event_gates": [{"forms": ["S-1", "S-1MEF", "424B4",
"424B7"], "why": "Advent follow-on = supply delivered at a known
price = Tranche-4 full-size trigger"}, {"forms": ["SC 13D/A", "SC
13G/A"], "why": "Advent ~88% stake changes; last clean read was the
2026-08-13 13G"}, {"forms": ["4"], "why": "Insider sales once the
~Dec 1 lockup lapses"}, {"forms": ["8-K"], "why": "Any revision to
the maiden FY26 guide ($3.8-3.9B rev / $720-740M adj-EBITDA) or new
large-order PR"}, {"forms": ["8-K", "EX-99.1"], "why": "Q3 results:
Equipment segment adj-EBITDA margin >=15% is the half-size
conversion gate"}, {"forms": ["10-Q"], "why": "Contract-liability
balance and RPO roll-forward - drains how much of the $205M FCF is
customer money"}, {"forms": ["S-1", "EX-1.1"], "why": "Underwriting
agreement: literal lockup date and early-release triggers, unread by
both benches"}], "catalyst_dates": [{"date": "2026-10-13", "what":
"Expected issuer PR naming the Q3 date if Oct 27 is real (14-day
cadence precedent); absence favors the Dec date", "confirmed":
false}, {"date": "2026-10-27", "what": "Candidate Q3 print
(yfinance-derived; no INNIO PR names it; contested)", "confirmed":
false}, {"date": "2026-11-30", "what": "MSCI semi-annual index
review window - float/domicile eligibility checkpoint, no committee
doc read", "confirmed": false}, {"date": "2026-12-01", "what":
"Estimated lockup expiry, 180 days from the 2026-06-04 trade date;
exact date unverified", "confirmed": false}, {"date": "2026-12-02",
"what": "Alternate Q3 print date (TradingView, non-primary); would
collide with the lockup window", "confirmed": false}, {"date":
"2026-12-31", "what": "Tax-year boundary governing where any loss
branch lands; excludes post-Dec-31 option expiries", "confirmed":
true}], "immediate_entry": {"action": "BUY", "approx_price": 20.30,
"size_pct_of_book": 0.50, "basis": "Starter-minimum common stock:
demand leg unrefuted ($4.9B->$6.6B backlog), guide asks for last
year's H2 margin, but FV band $17.50-21.40 brackets the tape so no
discount is claimed"}, "unverified": [{"item": "Exact lockup expiry
date and any early-release triggers", "instrument": "EDGAR pull of
S-1 / 424B4 underwriting agreement (EX-1.1), CIK 2109150",
"drainable_now": true, "estimate": {"range": "2026-11-25 to 2026-12-
05 (centered 2026-12-01)", "basis": "180-day standard IPO lockup
from the 2026-06-04 trade date", "p": 0.70}}, {"item": "The ~1.1 GW
order's dollar value and cancellation/deferral terms", "instrument":
"Not drainable - private contract, buyer unnamed; walk-around of
Jenbach/Welland order desk or a customer-side disclosure only",
"drainable_now": false, "estimate": {"range": "$0.75-1.25B equipment

```

"drainable_now": **false**, "estimate": {"range": "\$0.75-1.25B equipment value (terms unestimable)", "basis": "Industry base rate ~\$0.7-1.1M per MW equipment-only for reciprocating-engine gensets x 1,100 MW", "p": 0.60}}, {"item": "Contract-liability / customer-advance balance at 2026-06-30", "instrument": "XBRL pull of ContractWithCustomerLiability from the 2026-07-28 10-Q (pack XBRL arrived empty)", "drainable_now": **true**, "estimate": {"range": "\$380-760M", "basis": "Capital-equipment progress-payment base rate 10-20% of annual revenue on a \$2.64B base", "p": 0.60}}, {"item": "Company-confirmed Q3 2026 earnings date", "instrument": "innio.com press-release feed monitor; precedent = date PR'd ~14 days ahead", "drainable_now": **false**, "estimate": {"range": "2026-10-27 (p 0.55) vs 2026-12-02 (p 0.35) vs other (p 0.10)", "basis": "Issuer PR cadence precedent from the Q2 announcement", "p": 0.55}}, {"item": "Index-treatment eligibility: MSCI ~15% free-float screen vs FTSE ~5% floor vs Dutch home-country assignment", "instrument": "MSCI GIMI / FTSE Russell methodology documents plus Nov review announcement", "drainable_now": **false**, "estimate": {"range": "p(standard-index inclusion before float rises materially) ~15%", "basis": "12% actual float against published free-float thresholds; comps of low-float sponsor-controlled IPOs", "p": 0.15}}, {"item": "Average daily volume / dollar liquidity (absent from pack; needed for the reflexive leg)", "instrument": "IBKR market-data pull", "drainable_now": **true**, "estimate": {"range": "2-4M shares/day, ~\$40-80M/day", "basis": "90M-share float, 3-month-old IPO, beta 3.61; comps of similar low-float large-cap IPOs", "p": 0.65}}, {"item": "Whether a listed options chain exists and its chain-level midpoint IV", "instrument": "IBKR option-chain pull (chain-level midpoints, never the aggregate underlying IV feed - TSSI 71-vs-101 lesson)", "drainable_now": **true**, "estimate": {"range": "p(chain exists) ~60%; if listed, 1-year ATM midpoint IV 60-85%", "basis": "Beta 3.61 and a 52-week range of \$19.04-42.95 imply realized vol well above 50%", "p": 0.60}}, {"item": "Advent's intent and timing on a follow-on secondary", "instrument": "Not drainable - sponsor intent is private; proxied by EDGAR S-1/424B and 13D/G-A watcher", "drainable_now": **false**, "estimate": {"range": "p(registered secondary within 6 months of lockup) ~60%; first tranche 15-25% of retained stake", "basis": "PE sponsor post-lockup step-down base rates; no follow-on filed through 2026-08-13", "p": 0.60}}, {"item": "Whether a pre-IPO dividend recapitalization occurred", "instrument": "EDGAR pull of S-1 related-party / dividends / predecessor-basis notes", "drainable_now": **true**, "estimate": {"range": "p(material pre-IPO distribution disclosed) ~55%", "basis": "\$2,618.7M TLB and 3.6x YE25 leverage on an Advent carve-out with an all-secondary IPO that retired no debt", "p": 0.55}}, {"item": "Q3 2026 Equipment segment adjusted EBITDA margin (the >=15% half-size conversion gate)", "instrument": "Time-gated: Q3 8-K Ex-99.1 segment table on the print date", "drainable_now": **false**, "estimate": {"range": "13-16%", "basis": "Anchored on Q2'26 actual 13.8% plus company-guided H2 margin improvement; p(>=15.0%) ~45%", "p": 0.45}}, {"item": "Physical progress of the Jenbach (AT) and Welland (CA) ramp toward 10 GW capacity", "instrument": "EU/Ontario inspectorate and permit records; parcel polygons plus Landsat LST series; site walk-around", "drainable_now": **false**, "estimate":

```
{"range": "p(capacity milestones broadly on schedule through 2027)~50%", "basis": "Heavy-industrial brownfield capacity-tripling base rates; no parcel geocode available and thermal cannot separate ramp cost from demand fade", "p": 0.50}}}]}
```